

IT IS BUILT AROUND STATISTICAL OPERATIONS

CANDLESTICK PATTERNS

INDICATORS

OSCILLATORS

CHART PATTERNS

TRENDLINES & CHANNELS

We saw that technical analysis is mainly concerned with price and volume data of assets. However, various operations and calculations are conducted with these parameters to come to conclusions and take actions. Given beside are the different kinds of statistical analysis that are conducted.

Reaching conclusions require extensive analysis deploying various operations. A lot of people are confused into thinking they need to be extremely good with statistics to conduct technical analysis. However, this is very far from the truth. When we deal with technical analysis using charts and auto-built indicators and oscillators, we do not need to know the sophisticated statistics behind each indicator. For this, we assume that the person has zero statistical background and they should be in a position to get started with technical analysis.

Each tool that we will discuss going further, has a statistical meaning attached to it. It is not required for one to understand the statistical calculation of each tool. However, it is recommended for those who are willing to create a career in technical analysis to understand the statistical calculations.